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GIPS POLICIES GAP CHECK

Meridian Example Advisers (TEST) — GIPS Policies Gap Check

Policies and procedures · SYNTHETIC TEST

SUBJECT
Meridian Example Advisers (TEST)

REVIEW
Policies gap check

MANUAL DATE
2025-12-31

EVIDENCE
Fictional documents

PREPARED FOR
Gradient TEST

REVIEW DATE
2026-10-09

OVERALL ASSESSMENT
Material concern

REQUIREMENTS EVIDENCED
13 of 16 · Partial



01 Summary

OVERALL ASSESSMENT

Material concern

REQUIREMENTS EVIDENCED · 13/16

BOTTOM LINE

Core composite and calculation policies exist, but current approval is not evidenced and six areas remain partial S1 S2.

MET	PARTIALLY MET	NOT MET	NOT FOUND
6	6	1	3
Six policy areas are specific	Six areas need specificity	Current approval not evidenced	Three policies not located

EVIDENCE COVERAGE

GIPS policies manual	**Available**	Fictional sections 2–13, revised 2025-12-31 S1
Policy change log	**Degraded**	Prior review listed; current signed approval absent S2

> SYNTHETIC TEST handoff for committee-memo regression coverage. This paste-ready authoritative markdown uses fictional policies and an invented change log only.

- **Overall assessment:** Material concern. Core composite and calculation policies exist, but current approval is not evidenced and six policy areas remain partial S1 S2.

Key judgment — core calculation rules exist

The manual states four core areas: TWR, accrual, fee and theoretical-performance rules S1. Their presence establishes a calculation foundation, but the review still depends on whether each rule is current, operationally assigned and consistently supported by retained records.

Key judgment — current governance is unproven

The change log contains no approval record for the current manual S2. Without a dated approval, the review cannot determine whether governance accepted this revision, so a signed record remains necessary to establish currency and accountable authorization.

Key judgment — operational ownership is thin

Valuation, report sign-off and portability controls omit accountable owners S1. The missing assignments materially weaken execution because the manual does not identify who performs, reviews or approves these three recurring control responsibilities when exceptions arise.

Key judgment — three policy areas are absent

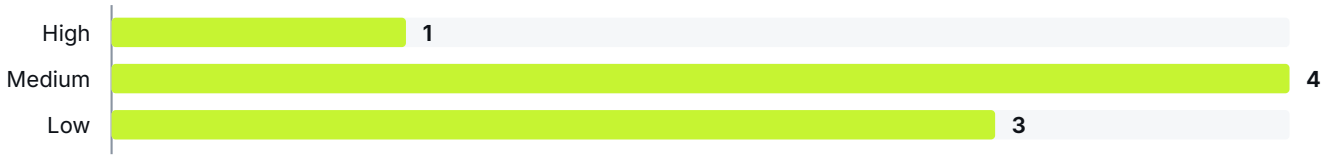
Three policy areas were not located: significant cash flows, distribution tracking and record retention S1. Their absence leaves portfolio treatment, recipient evidence and retention duties undefined, requiring separate approved policies or explicit additions to the manual.

02 Findings

Checklist status by area

Not available — stacked values contain no positive total

FINDINGS BY SEVERITY



HIGH **Current approval not evidenced**
The change log has no signed approval for the current manual S2.

MEDIUM **Error threshold absent**
The error policy omits materiality thresholds S1.

MEDIUM **Reporting owners absent**
Valuation estimates and report sign-off lack accountable owners S1.

MEDIUM **Benchmark-change timing undefined**
The benchmark policy does not define approval timing S1.

MEDIUM **Portability ownership absent**
The portability policy does not identify its documentation owner S1.

LOW **Cash-flow policy not found**
No ex ante significant-cash-flow policy was located S1.

LOW **Distribution tracking not found**
No reasonable-efforts tracking policy was located S1.

LOW **Retention schedule not found**
No supporting-record retention schedule was located S1.

The current manual has no supplied approval record. Error correction, valuation, benchmark, portability, report-preparation and verification policies lack required specificity; three additional areas are not found in the reviewed manual S1 S2.

Analysis — governance currency is unproven

Observation: No current approval date is evidenced for this revision S2. **Why it matters:** Governance cannot be tied to the reviewed manual version. **Uncertainty:** A signed approval record may exist outside supplied coverage. **What would change the view:** Follow-up request 1 producing dated approval evidence.

Analysis — control specificity is uneven

Observation: Six areas lack owners, timing or thresholds S1. **Why it matters:** Execution is not reproducible from policy. **Uncertainty:** Procedures may sit outside the manual. **What would change the view:** Follow-up request 2 and follow-up request 3.

Analysis — evidence retention is incomplete

Observation: Three required policy areas were not found S1. **Why it matters:** Compliance evidence may not be retained or distributed consistently. **Uncertainty:** Separate approved policies were not supplied for review. **What would change the view:** Follow-up request 4 producing all three policy records.

03 Policy gaps by area

POLICY AREA BY CHECKLIST STATUS

MET	PARTIALLY MET	NOT MET	NOT FOUND	N/A	
FIRM DEFINITION	1	0	0	0	0
GOVERNANCE	0	0	1	0	0
COMPOSITE DEFINITIONS	1	0	0	0	0

MET	PARTIALLY MET	NOT MET	NOT FOUND	N/A	
COMPOSITE MEMBERSHIP	1	0	0	0	0
SIGNIFICANT CASH FLOWS	0	0	0	1	0
CARVE-OUTS	0	0	0	0	1
VALUATION	0	1	0	0	0
RETURN CALCULATION	1	0	0	0	0
BENCHMARKS	0	1	0	0	0
REPORT PREPARATION	0	1	0	0	0
DISTRIBUTION	0	0	0	1	0
ERROR CORRECTION	0	1	0	0	0
ADVERTISING	1	0	0	0	0

MET	PARTIALLY MET	NOT MET	NOT FOUND	N/A	
PORTABILITY AND M&A	0	1	0	0	0
THEORETICAL PERFORMANCE	1	0	0	0	0
RECORD RETENTION	0	0	0	1	0
VERIFICATION	0	1	0	0	0

One-hot status for all 17 policy areas in the fictional manual S1 S2.

Governance and portfolio scope

AREA	STATUS	EVIDENCE GAP
Firm definition	Met	Defined legal entity and asset perimeter S1
Governance	Not Met	No current approval record S2
Composite definitions	Met	Strategy and discretion rules stated S1
Composite membership	Met	Entry and exit timing stated S1
Significant cash flows	Not Found	No ex ante policy located S1
Carve-outs	N/A	Manual states the firm does not use carve-outs S1

Calculation and reporting controls

AREA	STATUS	EVIDENCE GAP
Valuation	Partially Met	Estimate hierarchy lacks approval owner S1
Return calculation	Met	TWR, accrual and fee methods stated S1
Benchmarks	Partially Met	Change approval timing is undefined S1
Report preparation	Partially Met	Final sign-off owner is absent S1
Distribution	Not Found	Reasonable-efforts tracking not located S1
Error correction	Partially Met	Materiality thresholds are absent S1

Marketing, records and assurance

AREA	STATUS	EVIDENCE GAP
Advertising	Met	GIPS advertisement approval process stated S1
Portability and M&A	Partially Met	Documentation owner is absent S1
Theoretical performance	Met	Linking prohibition and labeling stated S1
Record retention	Not Found	Retention schedule not located S1
Verification	Partially Met	Independence review cadence is undefined S1

04 Follow-up requests

01 **Provide the current signed policy approval and governance record.**
Closes the governance deficiency S2.

02 **Provide approved error-correction thresholds and the escalation owner.**
Closes the 1.A.20–1.A.21 specificity gap S1.

03 **Add owners and timing for valuation estimates, benchmark changes and report sign-off.**
Closes three operational-control gaps S1.

04 **Provide significant-cash-flow, distribution-tracking and record-retention policies.**
Closes the three Not found areas S1.

05 **Identify the portability documentation owner and acquired-record inventory.**
Closes the portability control gap S1.

06 **Define verifier independence review ownership and cadence.**
Closes the verification governance gap S1.

1. Provide the current signed policy approval and governance record S2.
2. Provide approved error-correction materiality thresholds and escalation owner S1.
3. Add owners and timing for valuation estimates, benchmark changes and report sign-off S1.
4. Provide significant-cash-flow, distribution-tracking and record-retention policies S1.
5. Identify the portability documentation owner and required acquired-record inventory S1.
6. Define verifier independence review ownership and cadence S1.

A Appendix — Findings checklist

Governance and portfolio scope

AREA	REQUIREMENT	PROVISION	STATUS	EVIDENCE	FINDING / FOLLOW-UP
Firm	Firm definition	1.A.2	Met	Manual §2 S1	—
Governance	Current approval evidence	1.A.4–1.A.5	Not Met	Change log S2	No current sign-off
Composite definitions	Definition and discretion	3.A.1–3.A.5	Met	Manual §5 S1	—
Composite membership	Entry and exit timing	3.A.6–3.A.11	Met	Manual §6 S1	—
Significant cash flows	Ex ante treatment	3.A.12–3.A.13	Not Found	Manual S1	Policy not located
Carve-outs	Cash allocation and standalone composite	3.A.15–3.A.18	N/A	Manual §6 S1	Firm states none are used

Calculation and reporting controls

AREA	REQUIREMENT	PROVISION	STATUS	EVIDENCE	FINDING / FOLLOW-UP
Valuation	Fair value hierarchy and estimates	2.A.19, 2.A.23	Partially Met	Manual §7 S1	Estimate approval owner absent
Return calculation	TWR, accruals and fees	2.A.8–2.A.38	Met	Manual §8 S1	—
Benchmarks	Selection and change approval	1.A.18–1.A.19	Partially Met	Manual §8 S1	Approval timing undefined
Report preparation	Required review and sign-off	Section 4–7	Partially Met	Manual §10 S1	Final owner absent
Distribution	Reasonable-efforts tracking	1.A.11–1.A.17	Not Found	Manual S1	Policy not located
Error correction	Thresholds and redistribution	1.A.20–1.A.21	Partially Met	Manual §9 S1	Materiality absent

Marketing, records and assurance

AREA	REQUIREMENT	PROVISION	STATUS	EVIDENCE	FINDING / FOLLOW-UP
Advertising	Review and approval	Section 8	Met	Manual §12 S1	—
Portability and M&A	Linking controls and records	1.A.28, 4.C.37	Partially Met	Manual §11 S1	Documentation owner absent
Theoretical performance	Linking prohibition	1.A.27, 4.C.48	Met	Manual §12 S1	—
Record retention	Supporting-record schedule	1.A.5	Not Found	Manual S1	Schedule not located
Verification	Independence and scope review	Verification standards	Partially Met	Manual §13 S1	Review cadence undefined

B Appendix — Sources

TAG	SOURCE	DETAIL	AS OF	VALIDATION
S1	GIPS policies manual (TEST)	Fictional sections 2–11	2025-12-31	Synthetic document
S2	Policy change log (TEST)	Fictional approvals	2026-06-30	Synthetic document

C Appendix — Method & disclaimer

This fictional policies gap check tests the shared GIPS handoff contract. It is not verification, certification, legal advice or an assessment of any real firm.